

invested) as well as take on more risk (uncertainty as to when the outcome will be resolved). The controlling variable for both speculators and investors is the time horizon. Speculators work in short-horizon periods and accept smaller returns. Investors operate over long-horizon periods and expect larger returns.

This leads us to the next question: In long-horizon arbitrage, do large returns from buying and holding common stocks actually exist? I decided to look closely at the evidence.

We calculated the one-year return, trailing three-year return, and trailing five-year return (price only) between 1970 and 2012. During this 43-year period, the average number of stocks in the S&P 500 index that doubled in any one year averaged 1.8 percent, or about nine stocks out of 500. Over three-year rolling periods, 15.3 percent of stocks doubled, about 77 stocks out of 500. In rolling five-year blocks, 29.9 percent doubled, about 150 out of 500.

So, back to the original question: Over the long term, do large returns from buying and holding stocks actually exist? The answer is indisputably yes. And unless you think a double over five years is trivial, this equates to a 14.9 percent average annual compounded return.

Of course, the value of that research is relevant only to the degree investors have the ability to select, beforehand, which stocks have the potential to double in five years. The answer obviously lies in the robustness of their stock selection process and portfolio management strategy. I am confident those investors who apply the investment tenets outlined in *The Warren Buffett Way* and stick to a low-turnover portfolio strategy stand a good chance of isolating a fair number of five-year doubles.

Finance theory tells us investors are rewarded for identifying mispricings. We can assume if the excess returns from any one stock are large enough, it should attract a larger number of investors who seek to close the gap between price and value. When the number of arbitrageurs increases, we also know the returns from arbitrage should decrease. However, examining the average percentage return from our basket of rolling five-year doubles between 1970 and 2012, we cannot point to any significant diminution in the excess returns. Yes, the absolute number of investment doubles does correlate to the performance of the overall market. Stronger markets beget a